

BEFORE THE
FEDERAL MARITIME COMMISSION

YSN IMPORTS INC. d/b/a/ Flame King,

Complainant,

v.

FEIGE “PEGGY” OBERLANDER, U SHIPPERS
GROUP INC., and U SHIPPERS GROUP
MANAGEMENT CO., INC.

Respondents.

Docket No. 21-02

**OPPOSITION TO RESPONDENTS’ MOTION FOR LEAVE TO FILE EXPERT
REPORT UNDER SEAL**

YSN Imports, Inc. d/b/a Flame King (the “Complainant” or “YSN”), by and through its attorneys Holland & Knight LLP, respectfully submits this opposition to Respondents’ Feige “Peggy” Oberlander, U Shippers Group Inc. (the “Association”), U Shippers Group Management Co., Inc. (“Management”) (all three Respondents collectively “Respondents”) motion for leave to file its expert report under seal pending the Presiding officer's decision on Complainant's motion to extend deadlines in the Third Revised Schedule to allow for two third parties (Maersk and Roth & Co.) to respond to document subpoenas issued by the Presiding officer, and to allow sufficient time for the Presiding officer to resolve Complainant's pending motion to compel financial documents. With this opposition, Complainant requests the Presiding officer to deny the motion as (1) it is contrary to the Commission's regulations which specify that a party must not file discovery materials including "expert reports;" and (2) filing of the report *ex parte* with the Presiding Officer and Secretary is improper, potentially prejudicial, and unnecessary in these circumstances. Respondents' recourse, if any, was to file a protective order (with consent from

Complainant) to delay its expert disclosures until such time as the Presiding officer has ruled on the pending motion.

1. In a telephone and email exchange of Friday, January 7, 2022, Complainant's counsel informed Respondents' counsel that Complainant did not object to the withholding of Respondents' expert report, or in the alternative to Respondents seeking a protective order to delay expert disclosures until after the ruling of the Presiding officer on the pending motion to extend deadlines in the Third Revised Schedule. Complainant's counsel did object to the *ex parte* filing of Respondents' expert report in an application to the Secretary and the Presiding Officer.

2. Notwithstanding the objection and caution to Respondents' counsel against the unauthorized *ex parte* submission, on Friday January 7, Respondents' counsel filed its motion to file the expert report under seal along with copy of its expert report to the Secretary and the Presiding Officer. By separate email, Respondent filed the motion application without disclosing a copy of the expert report to counsel for Complainant.

3. The Commission's Regulations provide under 46 U.S.C. § 502.2(k) that parties must not file expert reports with the Secretary, Presiding officer or Commission. The relevant text of the regulation reads: (1) The following discovery requests and responses must not be filed with the Secretary until they are used in the proceeding, or the Commission or presiding officer orders filing: ... (v) expert witness reports." (emphasis added).

4. The Commission's regulations further prohibit *ex parte* communications to the Secretary, Commission or an Administrative law judge:

§ 502.11 Ex parte communications.

(a) No person who is a party to or an agent of a party to any proceeding as defined in § 502.61 or who directly participates in any such proceeding and no interested person outside the Commission shall make or knowingly cause to be made to any Commission member, administrative law judge, or Commission employee who is or may reasonably be expected to be involved in the decisional process of any such proceeding, an ex parte communication relevant to the merits of the proceeding.

5. Respondents' filing of its expert report without disclosure of the report to Complainant was, in effect, an unauthorized *ex parte* communication. Complainant respectfully requests the Presiding officer to deny the Respondents' application to file its expert report under seal. There is no reason (other than to cause confusion and prejudice) for Respondents' expert report to be filed pending a request for an extension of deadlines in the discovery schedule. The filing of the Respondent's expert report under seal may cause confusion in the record as the Commission's regulations provide that expert disclosures "must not be filed." In addition, Respondents may have to amend their expert report based on additional produced documents from third parties, or as a result of Complainant's motion to compel financial documents. Respondents' filed expert report under seal in the record may cause confusion or prejudice, and in any event serves no purpose as the Presiding officer can direct Respondents' to withhold their expert disclosures pending resolution of the motion to extend discovery deadlines.

6. Complainant requests the Presiding officer to deny the motion to file the Respondents' expert report under seal, and to strike the filed expert report from the record of these proceedings.

Dated: January 11, 2022

Respectfully submitted,

By: /s/ J. Michael Cavanaugh

J. Michael Cavanaugh

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CERTIFICATE OF SERVICE

The foregoing Opposition to Motion to File Expert Report Under Seal was served by email on January 11, 2022 to the following counsel:

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